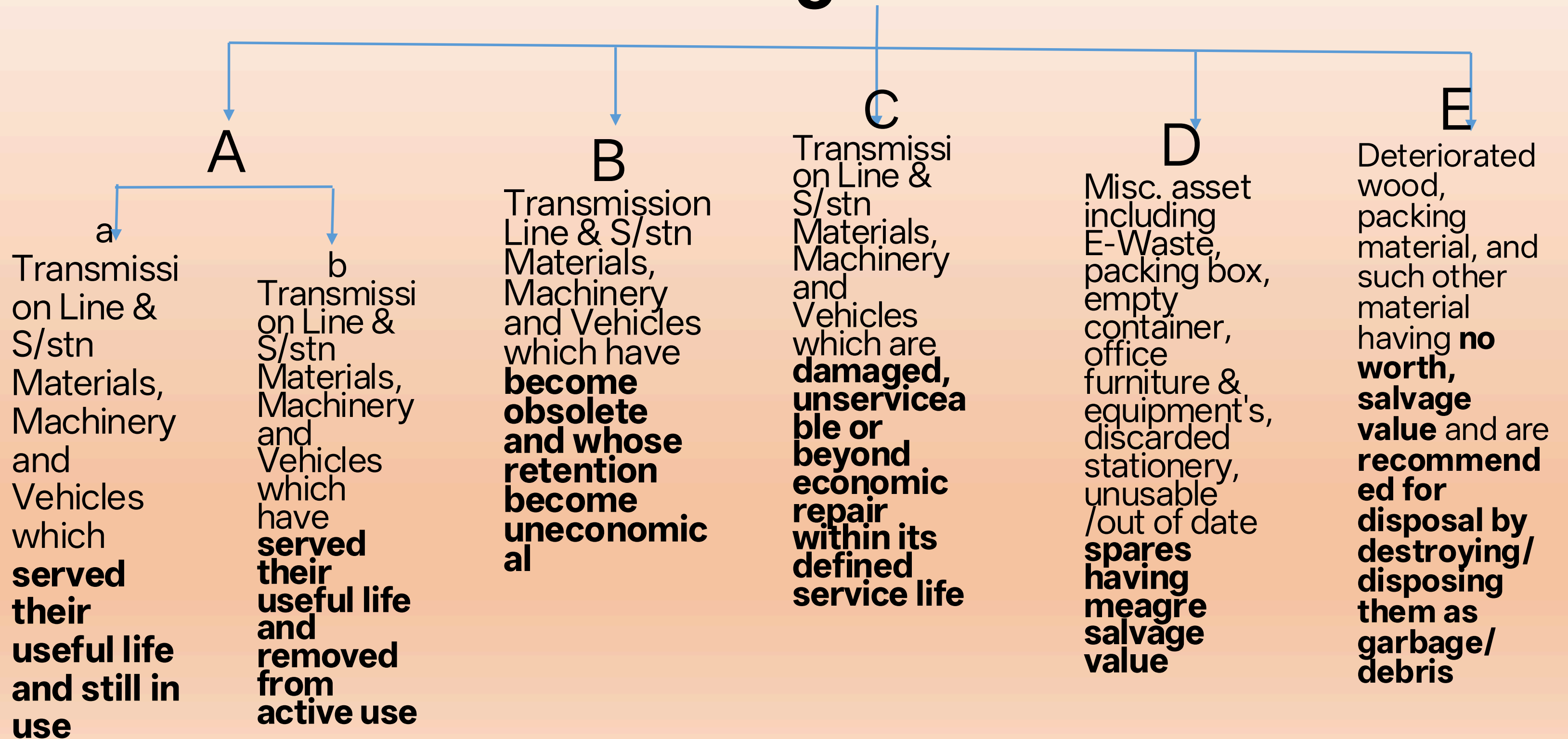


Asset Retirement, Scrap **Declaration and Disposal** **Policy** **MSETCL**

1) Asset Retirement Policy

Identification of Asset Categories



Role of Asset Owner

Identification & Preparation Asset Assessment Certificate



Proforma- A

> For Category A(a)

> proforma Submit on half yearly basis to **CLARC**

Proforma- B

> For Category A(b), B, C, & D

> Submit on Quarterly basis to **CLARC**

> asset owner organize the joint inspection of the items/ materials through CLARC

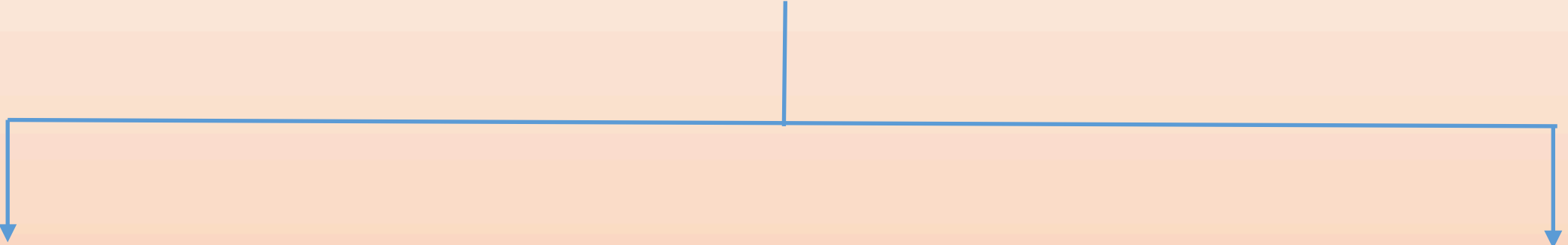
CLARC

Circle level Asset Retirement Committee

- Superintending Engineer(O&M) Circle (Chairman)
- Executive Engineer(O&M) of concern division- conveyor of the committee
- Executive Engineer, testing of concern division- Member
- Manager (F&A), of concern Circle- Member

CLARC

Circle level Asset Retirement Committee



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graph TD; CLARC[CLARC] --> Proforma-A[Proforma-A]; CLARC --> Proforma-B[Proforma-B];
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Proforma- A

- > For Category A(a)
- > CLARC shall ascertain/scrutinize the asset falling under Category A(a) for need to continue in service and will give **concurrence to put in service to asset owner**

Proforma- B

- > For Category A(b), B, C, & D
- > CLARC will **ensure for identification/ declaration/ certification** for retirement of asset under this category

Asset Retirement Report by CLARC

- Name and the description of the damaged/ unserviceable/ beyond economic repairs within its defined service life, Book value etc. of the item/ ,material which is to be retired from MSETCL as per Asset Retirement Certificate (Proforma – B)
- Mention the Reasons for proposing the material/ items for retirement
- CLARC will submit the report to **ZSC** for the asset falling under Category A and B and C for further course of action.

ZSC – Zonal Scrapping Committee

- ZSC shall consolidate the report given by CLARC
- Add their views/ Observations/ remarks
- Submit report to **CO R&D Committee** in every quarter of financial year

CO R&D Committee

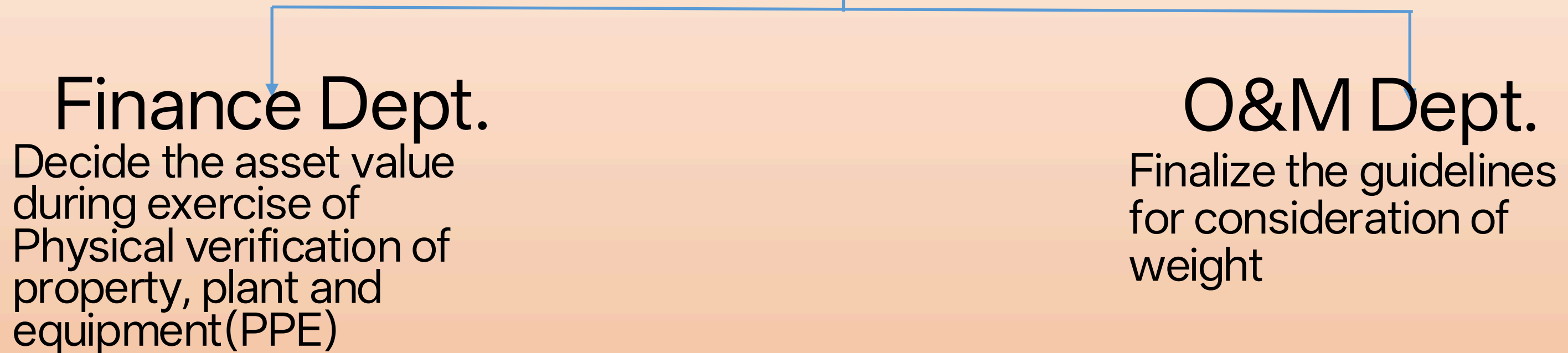
- Corporate office Research and Development committee-
 1. Director (Operations) – Chairman
 2. Chief Engineer (O&M) – Conveyer
 3. Chief Engineer (Design) – Member
 4. Chief General Manager (Finance)- Member
 5. Superintending Engineer (CPA) – Member
- CO R&D committee will take corrective actions on the report submitted by ZSC

2. Scrapping and Disposal Policy

Procedure

- CLARC will declare the asset is retired from MSETCL
- Asset owner shall hand over the asset and retirement certificate to EE (Store) for scrapping procedure.
- Scrutinizing in detail the asset proposed for scrap with reason for scrap declaration.
- EE (Store) will check Book value of all items & ensure its correctives provided by CLARC- **Manager (F&A)**, plays vital role for Book Value of asset under scrapping.
- Consolidated scrapping list put in front of ZSC for in principle approval of the scrap

- When Many items may not find their mentioning in asset register



- If book value not readily available then ZSC may arrive at the rough book value by assessing the likely price at the time of purchase, depreciation thereof and the present book value.
- Standardized policy for valuation method of high value asset would be finalized by separate committee with Technical and Finance Members.

- **ZSC – Zonal Scrapping Committee**
- Chief Engineer, EHV PC O&M Zone- Chairman
- Superintending Engineer, Testing- Member
- AGM(F&A) – Member
- Executive Engineer (Store) – Conveyer of the committee

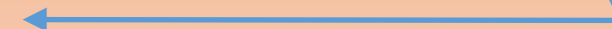
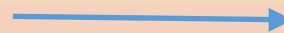
EE Store will consolidate scrapping list with book value/depreciated value

ZSC will give in principle approval of the scrap

- Physical survey by EE Store
- Reserve price calculation as per MSTC latest rate

ZSC will scrutinize the entire proposal and put up its final recommendations of MRP and STA(%) and lot details **to the competent authority as per GO no 1 (F&A) MSETCL**

Disposal of approved LOT by E-auction from MSTC



- **General guidelines**

- Disposal of approved material by MSTC

- Scrap like newspaper/magazines /broken furniture/ misc. item < Rs.5000/-

to be regularly disposed by Office incharge.

- Material / equipment replaced under LE Scheme or due to failure and approved by CLARC credited to Store or location identified by EE Store **except ICT / Power Transformer**

- Mentioned in **every Work order of work executing agency** that the material / equipment to be **moved from site to store or space identified** by EE Store.

Disposal of Information Technology Equipment's

- Scrapping committee IT – SCIT
 - 1) CGM (IT) Chairman
 - 2) Exe. Engineer (Admin) zone office-Member
 - 3) AGM (HR) Zone office- Member
 - 4) IT Analyst- Conveyer

- MERC → 5 yrs life for Desktop, Laptop, Scanner, Printer etc.

↓
suitable for use - donate free of cost to Govt.
insti. School under CSR
(approval from Competent Authority)

↓
Still remains available, proposal put up
before the SCIT to obtain approval from
Competent Authority.

- SCIT will scrutinize and forward to the Competent authority as per GO1 (F&A) for approval.
- After approval- disposal shall be initiated by EE Store through MSTC.
- De- capitalization of scrapped items from the asset Register

Reserve Price and STA% entry

- A. Reserve Price should be minimum.
- B. %STA (Subject to approval) is required to enter in e-auction which is below RP and competent authority (as per GO 1-F&A, MSETCL) approving min R.P. will also authorize to approve %STA.
- Variation in %STA should be approved by ZSC in case the lot remains unsold.
- The uniform standard guidelines shall be issued by Finance section of CO.
- If Remain unsold, **ZSC will analyse proposal and increase %STA**
- **Hazardous Waste:** ZSC should be considerate enough to keep high STA% so that there is success in the first attempt itself.
- **Objective: To get rid of the scrap and make free occupied space.**

Thank You